NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 24.11.2021 AT 10.30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CA(A) Merger & Amalgamation/12/230/AMR/2021
NAME OF THE COMPANY	
NAME OF THE PETITIONER(Ss)	Shanti Alloys Private Limited (Transferor Co.-1) AHS Alloys Private Limited (Transferor Co-2) Vakkal Power Corporation Limited (Transferor Co.-3) Vakkal Impex Private Limited (Transferee Co)
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA(A) Merger & Amalgamation/12/230/AMR/2021 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
AMARAVATI BENCH
AT HYDERABAD

CA (A) Merger & Amalgamation No. 12/230/AMR/2021

In the matter of Section 230 to 232 of the Companies Act, 2013

AND

1. Shanthi Alloys Private Limited
   Plot No.57, APIIC, AP Industrial Infra Corp
   Area IDA, Thumakunta,
   Hindupur,
   Andhra Pradesh – 515203. … Applicant/Transferor Company-1

2. AHS Alloys Private Limited
   S No.78, Devarapalli Village,
   Hindupur Rural, Anathapur District,
   Andhra Pradesh – 515211. … Applicant/Transferor Company-2

3. Vakkal Power Corporation Limited
   S No.78, Devarapalli Village,
   Hindupur Rural, Anathapur District,
   Andhra Pradesh – 515211. … Applicant/Transferor Company-3

4. VAkkal Impex Private Limited
   S No.78, Devarapalli Village,
   Hindupur Rural, Anathapur District,
   Andhra Pradesh – 515211. … Applicant/Transferee Company

Date of order: 24.11.2021

Coram:

Justice Telaprolu Rajani, Member (Judicial)

Parties present:

For the Applicants: Mr. Mahadev Tirunagari, PCS

Per: Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Application filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 seeking permission to

dispense with the meetings of the Equity Shareholders, Secured and Unsecured Creditors of the Applicant Companies for consideration of the Scheme of Arrangement (the Scheme for short) between the Applicant Companies.

2. The Registered Office of the Applicant Companies are situated in the State of Andhra Pradesh.

3. The Transferor Company-1 was incorporated as a Private Limited Company on 16.04.1992. The Authorised Share Capital as on 31.03.2020 is Rs.1,30,00,000/- divided into 1,30,000 equity shares of Rs.100/- each. The issued, subscribed and paid up equity share capital is Rs.92,52,000/- divided into 92,520 equity shares of Rs.100/- each. The main objects of the Company are to manufacture, process, purchase, sell, deal in any manner known in Trade and Commerce, fabricate, mix, manipulate and or to do anything in respect of ferrous and non-ferrous metals and billets, all type of castings, metals, ingots, bars, rounds, squares, angles, channels, pipes and other similar items of all types of metals and to develop foundry items and rolling mills etc.

4. The Transferor Company-2 was incorporated as a Private Limited Company on 28.03.2005. The Authorised Share Capital as on 31.03.2020 is Rs.15,00,000/- divided into 1,50,000 equity shares of Rs.10/- each. The issued, subscribed and paid up equity share capital is Rs.9,20,000/- divided into 92,000 equity shares of Rs.10/- each. The main objects of the Company are to manufacture, process, purchase, sell, deal in any manner known in Trade and Commerce, fabricate, mix, manipulate and or to do anything in respect of ferrous and non-ferrous metals and billets, all type of castings, metals, ingots, bars, rounds, squares, angles, channels, pipes sponge iron and other similar

items of all types of metals and to develop foundry items and rolling mills etc.

5. The Transferor Company-3 was incorporated as a Public Limited Company on 16.08.2002 in the State of Karnataka. Subsequently, on 27.07.2021, the Registered Office of the Company shifted to the State of Andhra Pradesh. The Authorised Share Capital as on 31.03.2020 is Rs.6,00,00,000/- divided into 60,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.5,00,000/- divided into 50,000 equity shares of Rs.10/- each. The main objects of the Company are to produce, generate, harness, develop, accumulate, distribute, transmit and supply electricity by setting up power plants by use of renewal energy sources such as Biomass, Solar, Photo Voltaic, Windmill or Hydel sources, Liquid, Gaseous or Solid fuels for the purpose of Light, Head, Motive power, and for all other purposes for which electric energy can be employed and to carry on and generate power supply by renewable energy sources etc.

6. The Transferee Company was incorporated as a Private Limited Company on 27.06.2002 in the State of Karnataka. Subsequently, on 06.08.2021, the Registered Office of the Company shifted to the State of Andhra Pradesh. The Authorised Share Capital as on 31.03.2020 is Rs.3,40,00,000/- divided into 34,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up equity share capital is Rs.3,29,35,000/- divided into 32,93,500 equity shares of Rs.10/- each. The main objects of the Company are to manufacture, Re-cycling of ferrous, Non-ferrous, Petroleum products, Machinery to Import and Export etc.

7. According to the Applicant Companies, the Transferor and Transferee Companies are the group entities with common promoters. They are engaged in the same industry and in businesses that are complementary and/or supplementary to each other. The Scheme will result in consolidation of the business of the companies resulting in expansion of the business and maximization of value for shareholders and all other stakeholders. In order to achieve the aforesaid objectives, the Board of Directors of the Applicant Companies has proposed to merge the Transferor Companies with the Transferee Company.

8. The Board of Directors of the Applicant Companies in its Board Meetings held on 24.09.2021 has approved the Scheme with appointed date as 01.01.2021, subject to the approval of its shareholders and creditors.

9. There are no proceedings are pending under Section 206 to 229 of the Companies Act, 2013, against any of the Applicant Companies.

10. The **Transferor Company-1** has filed certificate of the Auditor stating that as on 23.09.2021 there are **3** (three) equity shareholders together holding 92,520 equity shares of the Transferor Company-1 and they have given their consent by way of affidavits.

11. The **Transferor Company-1** has filed certificate of the Auditor stating that as on 23.09.2021 there is **1** (one) Secured Creditor having a debt of Rs.1,80,20,000/- of the Transferor Company-1 and it has given consent by way of affidavit.

12. The **Transferor Company-1** has filed certificate of the Auditor stating that as on 23.09.2021 there are **8** (eight) Un-Secured Creditors having together a debt of Rs.13,44,48,702/- of the Transferor Company-1. Out of which 4 (four) Un-Secured Creditors constituting 93% of the total debt have given their consent by way of affidavits.

13. The **Transferor Company-2** has filed certificate of the Auditor stating that as on 23.09.2021 there are **2** (two) equity shareholders together holding 92,000 equity shares of the Transferor Company-2 and they have given their consent by way of affidavits.

14. The **Transferor Company-2** has filed certificate of the Auditor stating that as on 23.09.2021 there are no Secured Creditors in the Transferor Company-2.

15. The **Transferor Company-2** has filed certificate of the Auditor stating that as on 23.09.2021 there are **3** (three) Un-Secured Creditors having together a debt of Rs.1,38,33,124/- of the Transferor Company-2 and they have given their consent by way of affidavits.

16. The **Transferor Company-3** has filed certificate of the Auditor stating that as on 23.09.2021 there are **7** (seven) equity shareholders together holding 50,000 equity shares of the Transferor Company-3 and they have given their consent by way of affidavits.

17. The **Transferor Company-3** has filed certificate of the Auditor stating that as on 23.09.2021 there are no Secured Creditors in the Transferor Company-3.

18. The **Transferor Company-3** has filed certificate of the Auditor stating that as on 23.09.2021 there are **2** (two) Un-Secured Creditors having together a debt of Rs.2,60,733/- of the Transferor Company-3 and they have given their consent by way of affidavits.

19. The **Transferee Company** has filed certificate of the Auditor stating that as on 23.09.2021 there are **5** (five) equity shareholders together holding 32,93,500 equity shares of the Transferee Company and they have given their consent by way of affidavits.

20. The **Transferee Company** has filed certificate of the Auditor stating that as on 23.09.2021 there are **2** (two) Secured Creditors together having debt of Rs.1,81,14,743/- of the Transferee Company and they have given their consent by way of affidavits.

21. The **Transferee Company** has filed certificate of the Auditor stating that as on 23.09.2021 there are 31 (thirty one) Un-Secured Creditors having together a debt of Rs.25,02,75,491/- of the Transferee Company. Out of which 5 (five) Un-Secured Creditors constituting 93% of the total debt have given their consent by way of affidavits.

22. Heard the submissions made in this regard by the Practicing Company Secretary for the Applicant Companies and perused the documents filed.

23. The **Equity Shareholders** of all the Applicant Companies have given consent affidavits agreeing to the Scheme and hence the meeting of the **Equity Shareholders** of all the Applicant Companies are dispensed with, in terms of Section 230(9) of the Act.

24. The **Secured Creditors** of Transferor Company-1 and Transferee Company have given consent affidavits agreeing to the Scheme and hence the meetings of the **Secured Creditors** of both Applicant Companies are dispensed with, in terms of Section 230(9) of the Act.

25. Since there are no Secured Creditors in the Transferor Company-2 and Transferor Company-3 and there is no need to conduct the meetings of the Secured Creditors.

26. The **Unsecured Creditors** of Transferor Company-2 and Transferor Company-3 have given consent affidavits agreeing to the Scheme and hence the meetings of the **Unsecured Creditors** of both Applicant Companies are dispensed with, in terms of Section 230(9) of the Act.

27. Since 93% of the **Unsecured Creditors** of Transferor Company-1 and Transferee Company have given consent affidavits agreeing to the Scheme and hence the meetings of the **Unsecured Creditors** of both Applicant Companies are dispensed with, in terms of Section 230(9) of the Act.

28. In compliance of sub-section (5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the applicant company shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh; (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

29. With the above directions, the Company Application i.e. CA(A) Merger & Amalgamation No. 12/230/AMR/2021 is disposed of.

TELAPROLU RAJANI
Member (Judicial)

Kaladhar